WEEKLY SHIP RECYCLING REPORT

bestoasis

4th February to 11th February 2022

Highlights of the Week

The price curve of Ship recycling offers in the subcontinent has flattened this week due to the volatility of steel demand, which has caused end buyers to refrain from increasing their bids. With very few units available for recycling, there is an appetite to secure tonnage and many recyclers are eagerly pursuing deals; however, the offer prices reflect that price may remain range-bound at this point.

Iron ore smashes USD 150/MT this week as China eases Steel's green targets and set 2030 as the new deadline for peak emissions for the sector, against an earlier target of 2025. President Xi Jinping said last month that climate targets shouldn't compromise supplies of commodities that "ensure the normal life of the masses."

HRC and CRC prices in China rose sharply in both the domestic and export markets this week, as market participants returned from Lunar New Year holidays.

Oil headed for the first weekly loss since mid-December as a flurry of diplomacy increased the chance of an Iranian nuclear deal being revived, paving the way for a resumption in flows from the nation which will alleviate some of the tightness in the global supply-demand balance.

U.S. inflation figures announced on Thursday came as a shocker as consumer prices jumped by 7.5%, led by a surge of 27% in energy prices. Markets are now expecting a 50-basis point rate rise next month instead of earlier prediction of 25 basis point.

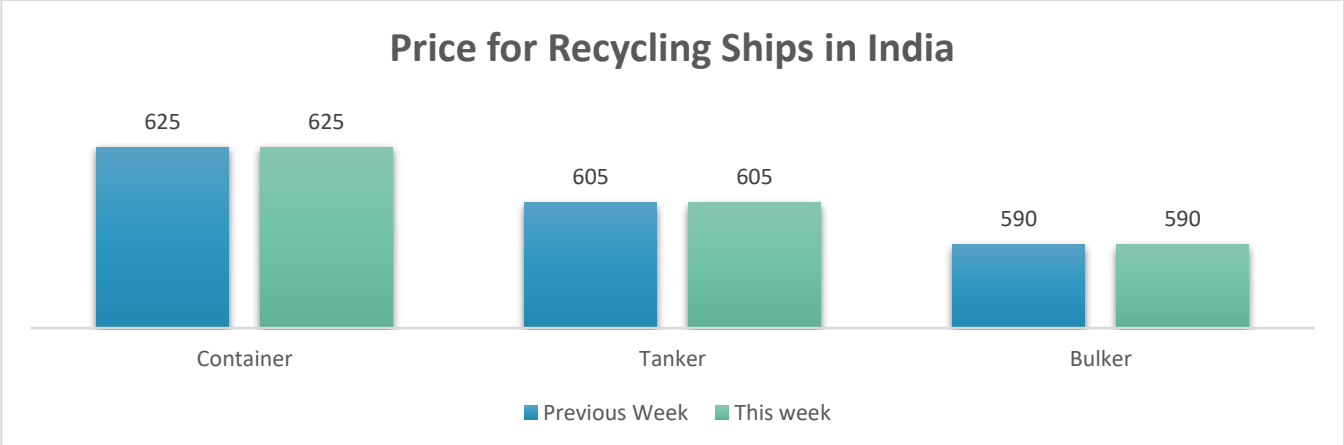
INDIA

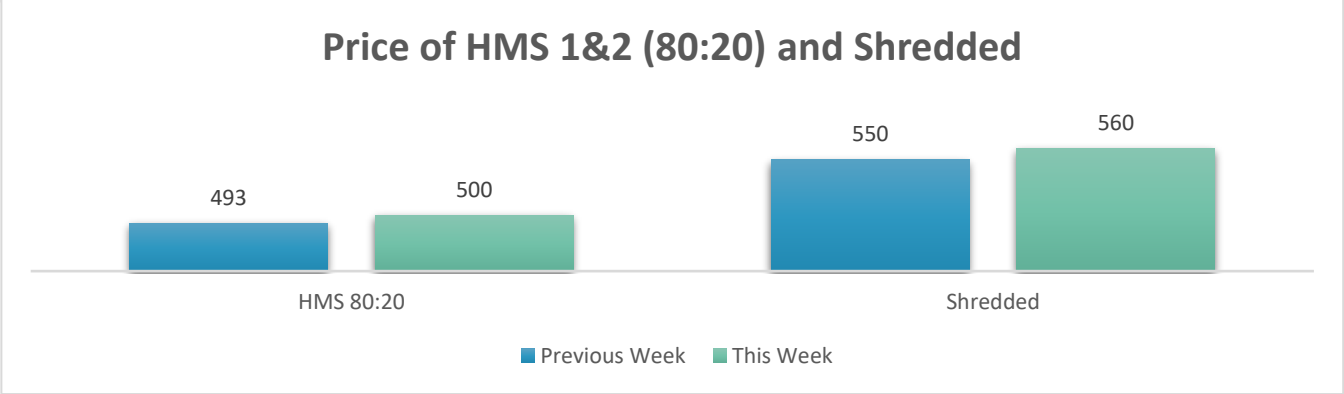
Market engulfed in uncertainty

The end buyers are in a state of confusion, as the volatility in steel prices have made them rethink whether to buy at the prevailing prices or wait and see how the prices evolve. Recent hike in domestic steel demand had encouraged buyers to make aggressive offers but prices have not climbed further this week. Currently there are few units available for green recycling as per HKC and it will be interesting to see what offers they will attract from the recyclers.

Imported scrap prices witnessed an increase of about USD 10/MT this week.

The price of rebar exported from India increased significantly this week as global and domestic offers rose.





Beaching Dates:
15th February to 22nd February 2022
27th February to 6th March 2022
17th March to 24th March 2022

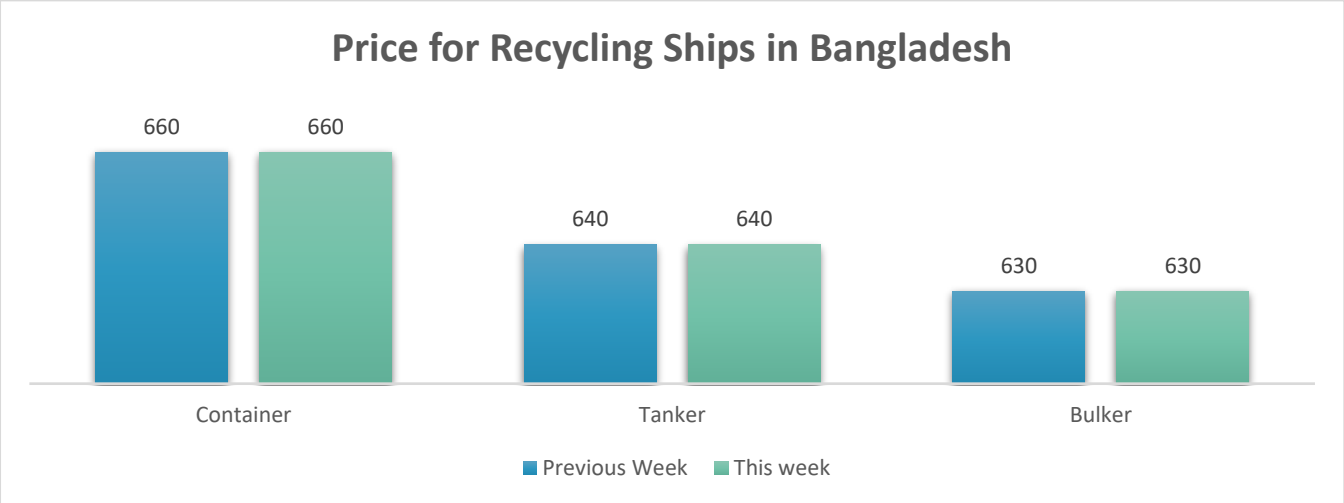
BANGLADESH

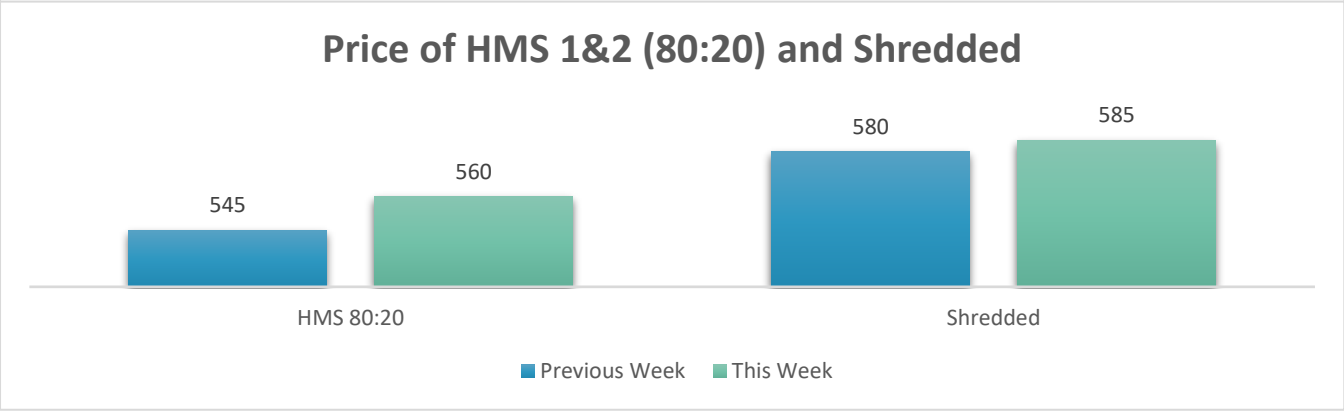
Market maintains strong momentum

With robust domestic steel prices, Bangladesh is proving to be the most popular destination this week as the end buyers are bidding aggressively to secure tonnage. The prices they offer are higher than those in neighboring markets, making them the top choice for sellers.

For yet another week, domestic rebar prices have remained unchanged, but sources believe there will be an upward trend of USD 5-7/MT in the near term, which may support imported scrap bookings.

As steel demand in the domestic market remains supportive, the price of imported scrap increased by about USD 10-15/MT this week.





Beaching Dates:

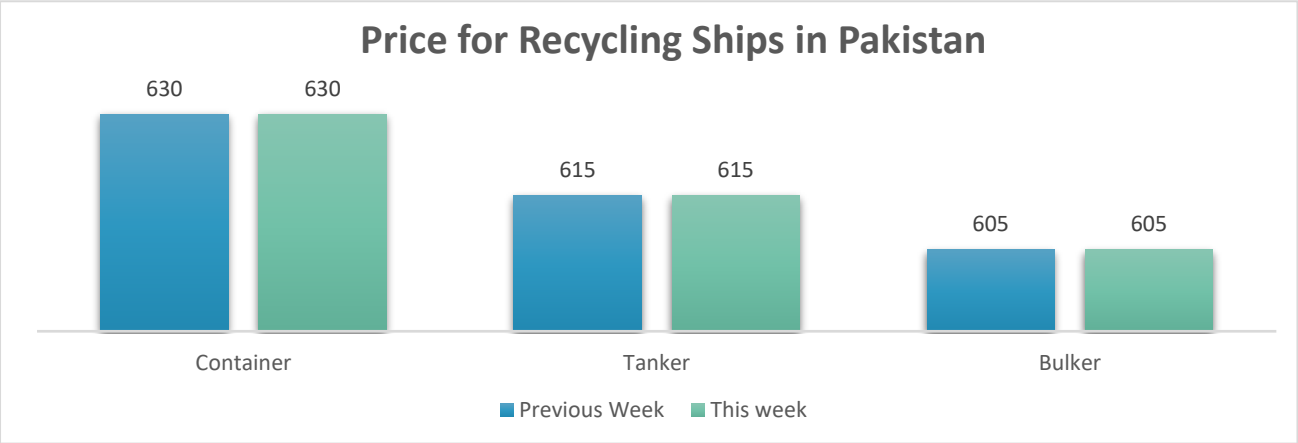
18th February to 21st February 2022
3rd March to 6th March 2022
19th March to 22nd March 2022

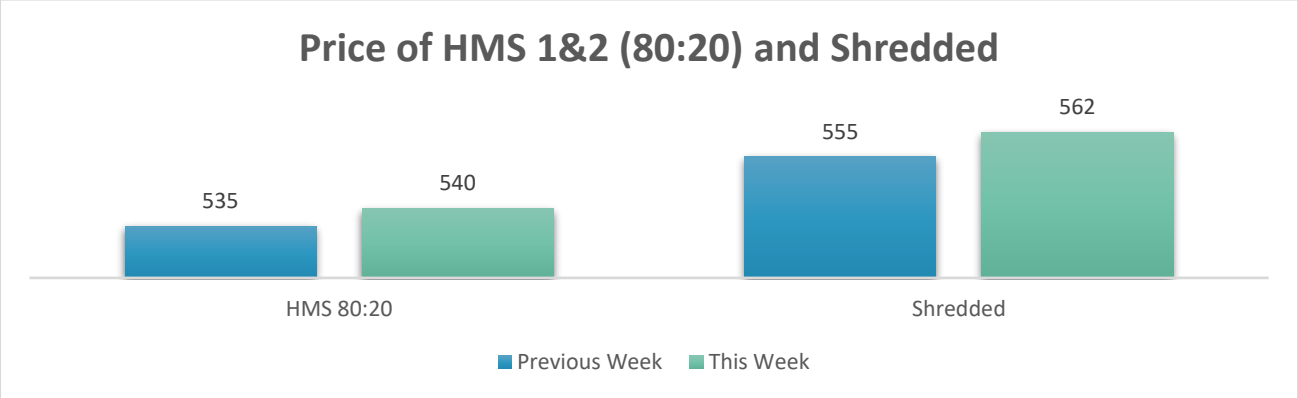
PAKISTAN

Offer prices remain range-bound

The offer prices from Gadani have surpassed those being offered from India as the local market is improving. A rumor surfaced midweek about the sale of a VLCC at attractive price, which caused a spike in demand and increased offers from recyclers, but as soon as the rumor faded, prices returned to previous levels. This indicates an existing demand with an attached resistance against any further price increases.

Following findings that iron and non-alloy steel rolled coils/sheets were being imported at dumping prices, the National Customs Commission of Pakistan decided to impose anti-dumping duties on imports of cold-rolled coils from Taiwan, the European Union, South Korea, and Vietnam to save the domestic steel market. However, anti-dumping duties will not be imposed on imports of steel products that are used as inputs in products manufactured for export.





Beaching Dates:
Throughout the month

TURKEY

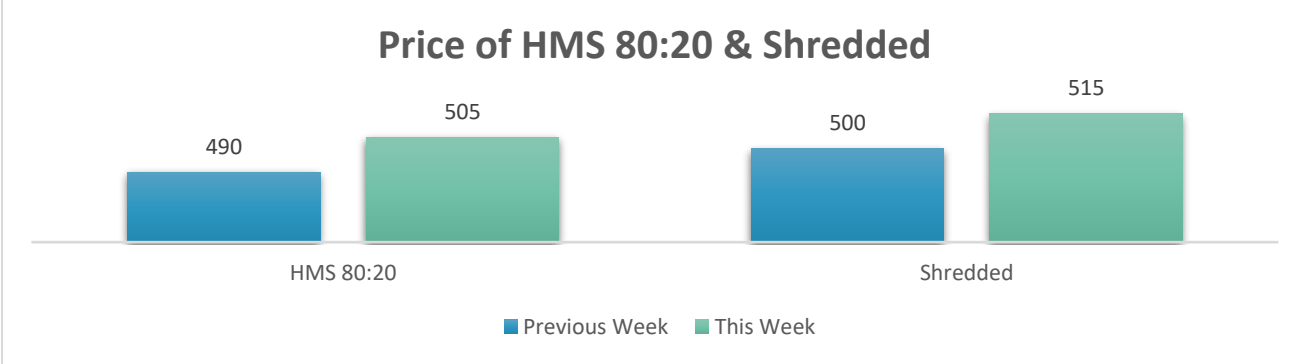
Domestic prices rebound on increased demand

Four vessels have arrived at Aliaga this week, including two Offshore Support vessels of about 5,000 LWT, a Tanker of about 12,000 LWT, and a Jack-up unit of about 8,000 LWT.

Due to the positive sentiments in domestic market, Turkish scrap mills are willing to accept higher import scrap prices as there are limited suppliers in the market.

Turkey has lifted the ban on importing scrap metal from Lebanon which has been depriving Lebanese economy of nearly USD 100 million in annual export revenue since 2018.

Energy challenges are slowly easing in Turkey as natural gas flows from abroad begin to normalize. The energy issue, the import dependency on gas, and increased global prices continued to be problematic for large industrial customers dealing with increased energy tariffs.

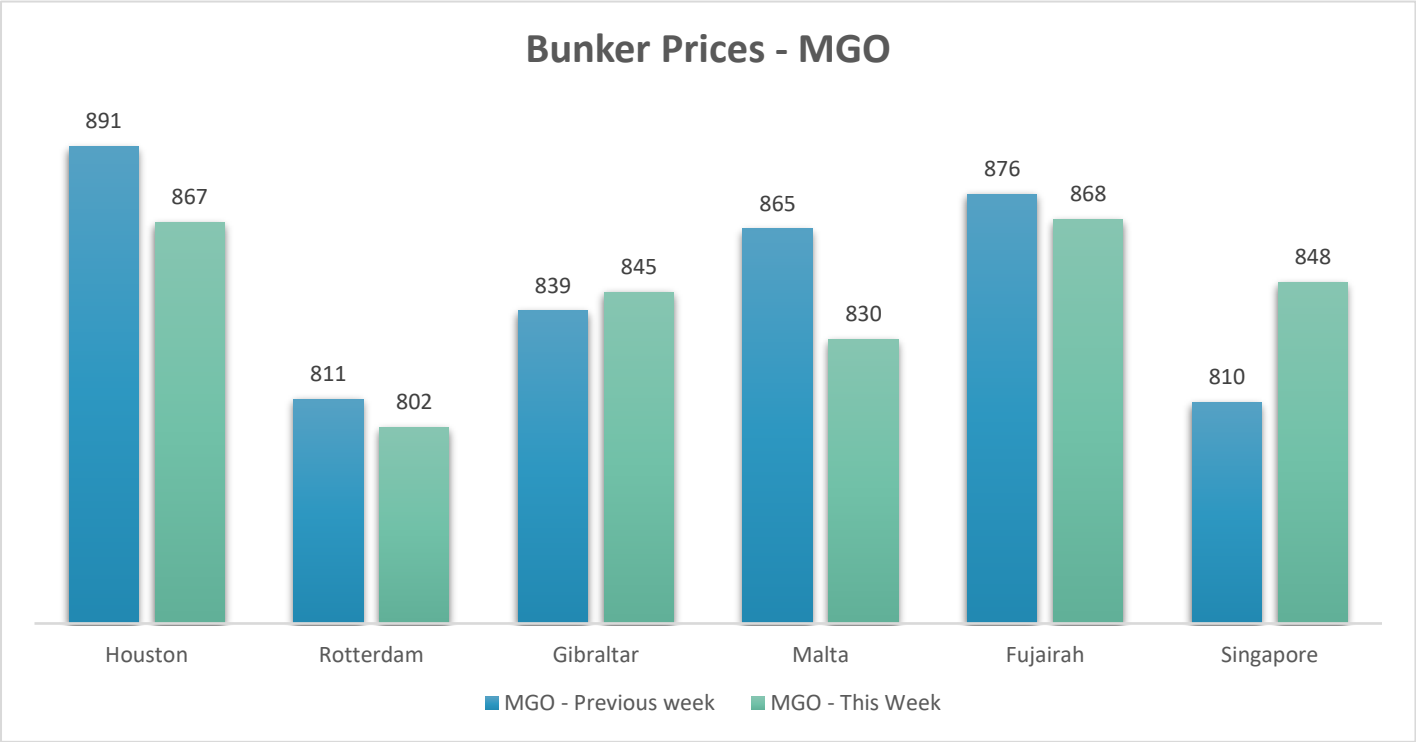


Beaching Dates:
Throughout the month

LIST OF VESSELS SOLD THIS WEEK

Vessel Name	Type of Vessel	Year of Build	Country of Build	LDT	Term of Sale	Location of Delivery	Sale Price/LDT (USD)
NEW INSPIRATION	TANKER	2002	JAPAN	40,737.00	DELIVERED	BANGLADESH/ PAKISTAN	667.00
CARNIVAL SENSATION	CRUISE	1993	FINLAND	28,760.00	AS-IS	MIAMI	UNDISCLOSED (EU/HKC recycling in Turkey)
BERGE AORAKI	BULKER	2000	JAPAN	21,285.00	DELIVERED	BANGLADESH	640.00 (HKC recycling)
AL SALAM	TANKER	2001	JAPAN	9,409.00	DELIVERED	PAKISTAN	662.00 (With 750 MT Bunkers)
THURAYA	TANKER	1999	POLAND	11,916.00	DELIVERED	PAKISTAN	UNDISCLOSED

BUNKER PRICES AT PORT



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